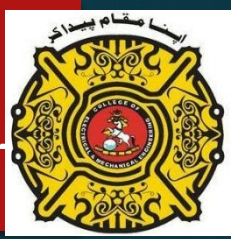




Professional Ethics



DR. MUHAMMAD ZEESHAN MIRZA

LECTURE - 12



Course Information



Course Name	Professional Ethics
Course Code	HU-222
Credit Hours	2
Email	zeeshanmirza21@hotmail.com
Visiting Hours	2-4 pm

Crisis

- ▶ A time when a difficult or important decision must be made





A Case to Discuss



- ▶ On January 15, 2009, US Airways Flight 1549 took off from LaGuardia Airport in New York City bound for Charlotte/Douglas International Airport, North Carolina, with the ultimate destination of Seattle-Tacoma International Airport in Washington. During its initial climb, the plane hit a flock of Canadian Geese.
- ▶ Despite losing engine power, Captain Chesley Burnett “Sully” Sullenberger III and his crew safely landed the plane on the Hudson River off midtown Manhattan



A Case to Discuss



- ▶ That landing is now known as the “Miracle on the Hudson.” The crew was later awarded the Master’s Medal of the Guild of Air Pilots and Air Navigators
- ▶ It was later described as “the most successful ditching in aviation history”



Crisis Management



- ▶ Steven Fink states that a crisis is a “turning point for better or worse,”
- ▶ A “decisive moment” or “crucial time,” or “a situation that has reached a critical phase”
- ▶ Crisis management “is the art of removing much of the risk and uncertainty to allow you to achieve more control over your destiny”



Four Crisis-Management Stages



Four Crisis-Management Stages

Stage 1	Stage 2	Stage 3	Stage 4
Precrisis	Crisis Occurs	Lingering	Health Restored
PRODROMAL STAGE	ACUTE STAGE	CHRONIC STAGE	CONFLICT RESOLUTION STAGE
Warning, symptoms	Point of no return	Self-doubt, self-analysis	Return to normalcy

Fink, S. (1986). Crisis management: Planning for the inevitable. New York: American Management Association, 26.



Prodromal Stage



- ▶ It is the warning stage
- ▶ If this stage is not recognized or does not actually occur, the second stage (acute crisis) can rush in, requiring damage control
- ▶ For example, BP blamed Transocean and Halliburton for the explosion; these companies blamed BP for taking a laissez-faire or lax approach to safety and equipment
- ▶ Was there a warning sign or symptom that employees and managers at BP and/or the licensed companies saw that a crisis was possible?



Acute Crisis



- ▶ Damage has been done
- ▶ The point here is to control as much of the damage as possible
- ▶ This is often the shortest of the stages
- ▶ In the BP crisis, the explosion took the crew on the rig by surprise
- ▶ Should they have been more suspecting that a crisis or problem like this could occur?



Chronic Crisis



- ▶ It is the clean- up phase
- ▶ This is a period of recovery, self- analysis, self- doubt, and healing
- ▶ A survey of Fortune 500 CEOs reported that companies that did not have a crisis management plan stayed in this stage two and a half times longer than those who did



Crisis Resolution

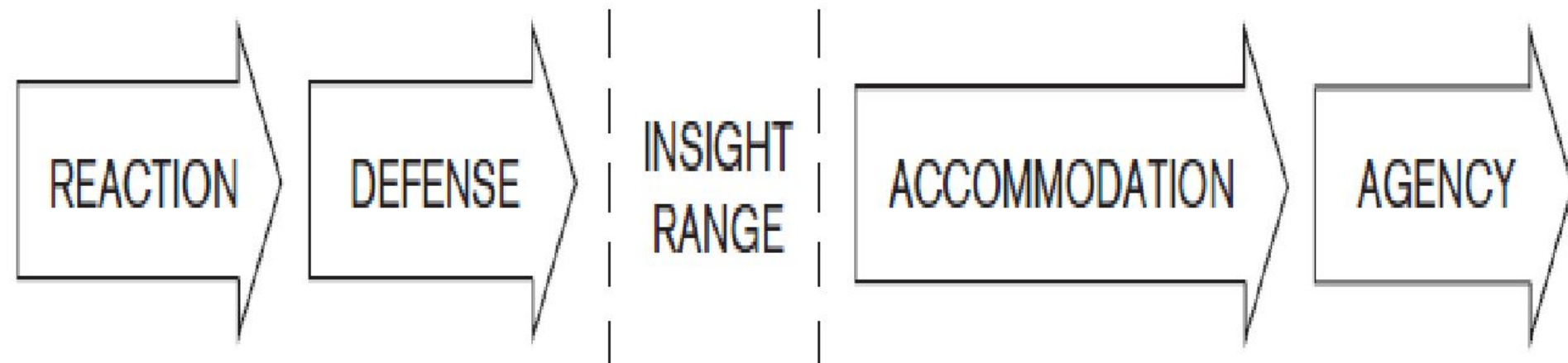


- ▶ It is the crisis management goal
- ▶ The key questions here are:
 - ▶ What can and should an organization's leaders do to speed up this phase and resolve a crisis once and for all?
 - ▶ Has BP learned from the disaster? Are new safety issues and requirements in effect at present?

How Executives Have Responded to Crises

Figure 3.11

Corporate Social Responses



Source: Adapted from Carroll, A. (1977). A three-dimensional conceptual model of corporate performance. *Academy of Management Review*, 4(4), 502.

THANK YOU.....

